OurMocks

2027 CYCLE

MOCK · PRACTICE · CRACK

CUET UG

Economics

Government Budget and the Economy

Official Syllabus · Course II: Introductory Macroeconomics · Class 12 · CUET UG 2027 Cycle Notes

INSIDE
Concept Notes

INSIDE
Solved Examples

INSIDE
Practice MCQs + Solutions

Aligned to the latest official syllabus · Concept-first explanations

www.ourmocks.com

Syllabus Alignment

Sub-topic	Official syllabus pointer (NTA CUET(UG) Economics syllabus 2026, the current 2027 baseline, Course II)	Skills the questions test
Budget, meaning and structure	Government budget — meaning, objectives and components	Defining the Annual Financial Statement, listing its objectives, and slotting every line into the revenue/capital buckets.
Receipts and expenditure classification	Classification of receipts — revenue receipts and capital receipts; classification of expenditure — revenue expenditure and capital expenditure	Applying the two tests (liability born? asset changed?) to classify any receipt or spending item on sight.
Budget balance and deficits	Balanced, surplus and deficit budget — measures of government deficit	Computing revenue, fiscal and primary deficits from a budget table and explaining each one's implications.

OurMocks

EXAM PATTERN

CUET UG pattern (NTA official information bulletin and syllabus, 2026 cycle — the current 2027 baseline): each subject paper carries **50 compulsory questions** in **60 minutes**, with +5 for every correct answer and −1 for every incorrect answer. The Economics paper follows NCERT Class 12 Economics; this unit is classification-and-formula country — the two tests and the three deficit formulas answer most questions on sight.

The Government Budget: Meaning and Objectives

Once a year, the finance minister stands in Parliament and tables a document that is essentially the country's household budget — with 140 crore members. The **government budget** is the statement of ESTIMATED receipts and EXPENDITURE of the government for the coming fiscal year (1 April to 31 March). Constitutionally, it is presented as the **Annual Financial Statement**.

- **It is estimates, not accounts:** the budget forecasts what the government expects to earn and plans to spend — actuals come later in audited accounts.
- **Objectives — why the government budgets at all:**
  - **Reallocation of resources:** steer the economy's choices — tax harmful goods (tobacco) heavily, subsidise desirable ones (clean energy, food grain).

- **Redistribution of income:** tax the rich progressively, spend on the poor — subsidies, free services, welfare schemes narrow the gap.
- **Economic stability:** expand spending in a slump, restrain it in a boom — the budget as the counter-cyclical steering wheel.
- **Management of public enterprises:** provisions for government-owned railways, power utilities and PSUs.
- **Economic growth:** capital spending on roads, power and education raises the economy's productive capacity.

- **The two halves:** every line of the budget sits in either the **revenue budget** or the **capital budget** — and the next two sections give you the sorting tests.

Receipts: Revenue vs Capital

The government's income arrives in two fundamentally different flavours. The sorting is done by TWO questions — memorise them as the twin tests.

THE TWO TESTS OF A RECEIPT

Test 1 — Does it CREATE a liability for the government? Yes → **capital receipt** (borrowing must be repaid).

Test 2 — Does it REDUCE the government's assets? Yes → **capital receipt** (selling an asset).

Neither test fires → REVENUE receipt. These are the government's regular earnings, free of obligation.

Type	What it is	Examples
Revenue receipts — tax	Compulsory payments to government, nothing given in return directly	Direct: income tax, corporate tax (burden cannot be shifted) · Indirect: GST, excise, customs (burden shifts to the buyer)
Revenue receipts — non-tax	Earnings from government's property, services and enterprises	Interest on loans given, fees and fines, profits of PSUs, dividends, grants-in-aid
Capital receipts — liability born	Money taken that MUST be returned	Borrowings from RBI/public/abroad, small savings (PPF, NSC)
Capital receipts — asset reduced	Money from selling or recovering what the government owns	Recovery of loans given to states, disinvestment of PSU shares

CLASSIFY THESE EIGHT — THE SORTING DRILL

Item	Bucket	Which test fired
GST collected	Revenue receipt	Neither liability nor asset — regular earning
Loan from the RBI	Capital receipt	Test 1 — repayment liability created
Sale of PSU shares (disinvestment)	Capital receipt	Test 2 — government asset reduced
Interest received on loans to states	Revenue receipt	Neither — regular earning
Recovery of loans to states	Capital receipt	Test 2 — asset (the loan) shrinks
Income tax	Revenue receipt	Neither — compulsory earning
Small savings (PPF deposits)	Capital receipt	Test 1 — must be repaid with interest
Fines and fees	Revenue receipt	Neither — regular earning

- **The disqualification pattern:** if an item merely ENRICHES the government without owing anyone or selling anything, it is revenue. The moment debt or asset-sale appears, it is capital.

Expenditure: Revenue vs Capital

The same twin tests, run on the spending side — with the answers flipped around.

Type	Definition	Examples
Revenue expenditure	Neither creates an asset NOR reduces a liability — the cost of RUNNING the government	Salaries and pensions, subsidies, interest payments, defence consumption, grants
Capital expenditure	Creates an asset OR reduces a liability	Schools, highways, machines (asset born) · repayment of borrowed principal (liability cleared)

- **Interest payment is REVENUE expenditure.** It neither builds anything nor repays the principal — it is the cost of servicing debt. (Repaying the principal IS capital expenditure.)
- **The asset test rewards the future:** capital expenditure this year becomes productive capacity for decades — the budget's growth engine.

- **The distinction matters beyond labels:** revenue deficit (next section) tells whether borrowed money is funding CONSUMPTION — the most-criticised form of government borrowing.

The Budget Balance: Balanced, Surplus, Deficit

Compare the two totals and the budget lands in one of three postures.

- **Balanced budget:** estimated receipts = estimated expenditure. The textbook ideal — zero borrowing — but rare and sometimes unwise (no room for counter-cyclical policy).
- **Surplus budget:** receipts EXCEED expenditure — the government drains purchasing power. Appropriate against inflation; contractionary by design.
- **Deficit budget:** expenditure EXCEEDS receipts — the modern norm. The gap must be borrowed, and economists measure it three ways.

THE THREE DEFICIT FORMULAS — THE HEART OF THIS UNIT

Revenue deficit = Revenue expenditure − Revenue receipts

Fiscal deficit = Total expenditure − Total receipts (excluding borrowings)

Primary deficit = Fiscal deficit − Interest payments

Fiscal deficit EQUALS the total borrowing requirement — that is its meaning, not a coincidence.

ONE BUDGET, THREE DEFICITS — FULL WORKING

Given (₹ crore): revenue receipts 1,400 · revenue expenditure 1,520 · capital receipts 600 (borrowings 560 + recovery of loans 25 + disinvestment 15) · capital expenditure 480 · interest payments 320.

- **Step 1 — Revenue deficit:** 1,520 − 1,400 = **₹120 cr**. The government borrows just to meet its daily running costs — revenue consumption financed by debt.
- **Step 2 — Fiscal deficit:** total expenditure = 1,520 + 480 = 2,000; total receipts EXCLUDING borrowings = 1,400 + 25 + 15 = 1,440; FD = 2,000 − 1,440 = **₹560 cr**. Cross-check: borrowings are exactly 560 ✓
- **Step 3 — Primary deficit:** 560 − 320 = **₹240 cr**. Even after paying the interest inherited from PAST borrowing, this year's policy adds ₹240 cr of fresh debt.
- **If primary deficit were ZERO:** the government borrows ONLY to pay interest on old loans — fiscally careful, but the debt still grows by the interest bill.

- **Why fiscal deficit is watched most:** it measures the WHOLE borrowing need, drives up the government's future interest burden (a debt trap of interest on interest), can crowd out private borrowers from the credit market, and — if financed by printing money — turns inflationary.
- **Why primary deficit reveals the stance:** it strips away history and asks "what is THIS year's government adding?" A shrinking PD means the fiscal position is genuinely improving.

- **Why revenue deficit alarms economists:** it means borrowed funds are consumed on salaries and subsidies rather than building assets — future generations inherit the bill without the infrastructure.

Key Formulas & Rules: One-Stop Revision

GOVERNMENT BUDGET — EVERY RULE ON ONE PAGE

Rule	Statement	When to use it
Budget	Estimated receipts + expenditure for the fiscal year (Annual Financial Statement)	Definition
Revenue receipt	No liability created, no asset reduced — tax + non-tax	Classification
Direct vs indirect tax	Burden cannot shift vs shifts to buyer	Income tax vs GST sorting
Capital receipt	Creates liability (borrowings) OR reduces assets (recovery, disinvestment)	Classification
Revenue expenditure	No asset born, no liability cleared — salaries, subsidies, interest	Classification
Capital expenditure	Creates asset (roads) OR reduces liability (principal repayment)	Classification
Revenue deficit	RD = RE − RR	Revenue-budget shortfall
Fiscal deficit	FD = total expenditure − total receipts excl. borrowings	**total borrowing requirement**
Primary deficit	PD = FD − interest payments	This year's own overspending
Deficit ladder	FD ≥ PD ≥ 0; RD is the revenue-side cut	Sanity-check numericals
Balance types	Balanced (equal), surplus (receipts > spend), deficit (spend > receipts)	Posture MCQs
FD implications	Debt trap, crowding out, inflationary financing	Consequence questions

Common Errors & Special Cases

THE TRAPS THIS UNIT SETS — READ BEFORE THE MOCK

The rule you assume	The twist	The trap in the question
"All government income is revenue"	Borrowings and disinvestment are CAPITAL receipts	Receipt-classification MCQs
"Repaying loans is revenue expenditure"	Repaying PRINCIPAL reduces a liability — capital; only INTEREST is revenue	Interest vs principal sorting
"Fiscal deficit is just a big number"	FD = the borrowing requirement, by definition — always cross-check with the borrowings line	Deficit numericals
"Primary deficit includes interest"	PD EXCLUDES interest — it isolates this year's own overspending	PD interpretation
"Revenue deficit means total overspending"	RD is only the revenue budget's shortfall — fiscal deficit is the wide one	RD vs FD distinction
"A balanced budget is always best"	It removes the counter-cyclical steering wheel — deficits are policy tools in slumps	Balanced-budget evaluation
"Tax burden always stays with the payer"	Direct taxes stick (income tax); indirect taxes shift (GST to the buyer)	Direct vs indirect MCQs
"Subsidies build assets"	Subsidies are REVENUE expenditure — consumed support, not infrastructure	Subsidy classification

The 60-Second Self-Test

Cover the answers, say each one aloud, then check. If any answer takes longer than ten seconds, revisit that section.

- **Government sells PSU shares.** Receipt type? → Capital — asset reduced (Test 2).
- **Salaries of government teachers.** Expenditure type? → Revenue — no asset born, no liability cleared.
- **RE = 900, RR = 780.** Revenue deficit? → ₹120 — borrowing for daily bills.

- **FD = 800, interest payments = 250.** Primary deficit? → 550 — this year's own addition to debt.
- **FD = 500 but borrowings line says 650.** What went wrong? → The subtraction — FD and borrowings must MATCH by definition.
- **Which deficit shows the current year's stance alone?** → Primary deficit — interest history stripped out.

The Whole Chapter in One Picture



Figure 1: Chapter mindmap: the budget's meaning and objectives, the twin tests for receipts and expenditure, the three balance postures, the deficit family with formulas and implications — with the traps that catch most students.

Practice Questions (Exam Pattern)

Ten questions in the CUET UG style. Attempt all of them — the paper gives +5 for each correct answer and −1 for every incorrect answer.

Q1. The government budget is best described as:

(A) a record of last year's actual accounts

(B) a statement of estimated receipts and expenditure for the coming fiscal year

(C) the stock of national wealth

(D) a list of all government employees

Q2. Which of the following is a CAPITAL receipt?

(A) GST collected
(B) borrowings from the public
(C) fees and fines
(D) profits of public sector undertakings

Q3. Recovery of loans by the government is a capital receipt because it:

(A) creates a liability
(B) reduces the government's assets
(C) is a tax
(D) increases money supply

Q4. Interest payment by the government is classified as:

(A) capital expenditure
(B) revenue expenditure
(C) capital receipt
(D) revenue receipt

Q5. Construction of a national highway is:

(A) revenue expenditure — it is government spending
(B) capital expenditure — it creates an asset
(C) a capital receipt
(D) neither receipt nor expenditure

Q6. Revenue expenditure is ₹900 crore and revenue receipts are ₹750 crore. The revenue deficit is:

(A) ₹1,650 crore
(B) ₹150 crore
(C) ₹750 crore
(D) −₹150 crore

Q7. Fiscal deficit equals:

(A) total expenditure − total receipts including borrowings
(B) total expenditure − total receipts excluding borrowings
(C) revenue expenditure − revenue receipts
(D) fiscal deficit − interest payments

Q8. Fiscal deficit is ₹600 crore and interest payments are ₹220 crore. Primary deficit is:

(A) ₹820 crore
(B) ₹600 crore
(C) ₹380 crore
(D) ₹220 crore

Q9. A primary deficit of ZERO means the government is borrowing:

(A) nothing at all
(B) only to pay interest on past loans
(C) for new capital projects
(D) to fund subsidies

Q10. A persistent high fiscal deficit can harm the economy by:

(A) crowding out private borrowers and building a debt trap
(B) guaranteeing a surplus next year
(C) eliminating all taxes
(D) raising exports automatically

Detailed Solutions

Each solution shows the working, not just the verdict — cover the answer line, attempt the reasoning, then compare.

Sol. Q1. The budget is a FORECAST document — estimated receipts and planned expenditure for the fiscal year ahead, tabled as the Annual Financial Statement. Audited actuals come later.

Answer: (B)

Sol. Q2. Borrowings must be repaid with interest — Test 1 fires (liability created), so they are capital receipts. GST, fees and PSU profits are regular earnings with no obligation: revenue receipts.

Answer: (B)

Sol. Q3. When a state repays its loan, the government's asset (the loan book) SHRINKS — Test 2 fires. No new debt is created; an existing asset is converted into cash.

Answer: (B)

Sol. Q4. Interest services EXISTING debt — it builds no asset and repays no principal. It is the cost of running the government's past borrowing: revenue expenditure.

Answer: (B)

Sol. Q5. The highway is a lasting public asset — the capital expenditure test fires directly. "All government spending" is not automatically revenue; the asset question decides.

Answer: (B)

Sol. Q6. RD = RE − RR = 900 − 750 = ₹150 crore — the revenue budget runs a shortfall that must be borrowed, financing daily consumption rather than assets.

Answer: (B)

Sol. Q7. Fiscal deficit measures the borrowing need: the whole of spending minus all receipts OTHER than borrowings (which would cancel themselves out). Including borrowings would zero the deficit absurdly.

Answer: (B)

Sol. Q8. PD = FD − interest = 600 − 220 = ₹380 crore. Option A added instead of subtracting; option C kept the interest inside.

Answer: (C)

Sol. Q9. PD = FD − interest = 0 means FD equals exactly the interest bill — the government borrows only to service past debt, adding no fresh spending of its own.

Answer: (B)

Sol. Q10. Heavy government borrowing soaks up the credit market — private firms face costlier funds (crowding out) — while interest-on-interest compounds the debt trap year after year.

Answer: (A)

Wrong-Answer Clinic — the one-line corrections

Dropped marks above? Find your slip here and rewrite the corrected rule in your own words.

If you answered...	Your slip was...	The corrected rule, in one line
Q2 option C	Reading fees as capital earnings	Fees, fines and profits are regular, obligation-free — revenue receipts; only debt and asset-sales turn capital
Q4 option A	Treating all debt-related money as capital	Interest SERVICES the debt (revenue); repaying the PRINCIPAL is the capital leg
Q6 option D	Reversing the subtraction	RD = RE − RR = 150 — the bigger spending number comes first
Q7 option A	Letting borrowings cancel the deficit	Exclude borrowings from receipts, or the deficit measures nothing — FD is defined without them
Q8 option A	Adding interest instead of subtracting	PD = FD − interest = 380 — interest is history, not this year's choice
Q9 option C	Equating zero PD with new projects	Zero PD means borrowing = interest only — fresh projects would push PD positive

© OurMocks · www.ourmocks.com · CUET UG Economics · Government Budget and the Economy · 2027 cycle